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Hong Kong Property | Asia Pacific

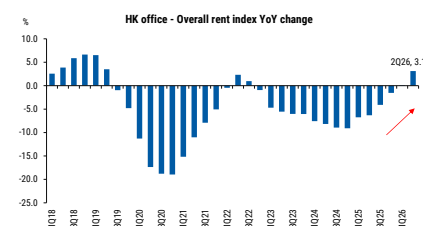
JLL 2Q26 Rental Update: Recovery Continues

Key Takeaways

- (+) Office rental rose 1.7% QoQ in 2Q26 (YTD: +3.2%) while Central rental grew 3.3% QoQ (YTD: +7.3%).
- (-) Office rental at HK East and Kowloon East rental still declined 0.8%/1.1% QoQ, respectively.
- (+) Office vacancy improved 0.4ppt to 13.1% as of June, with net absorption of 492k sqf. Central vacancy fell 0.8ppt QoQ to 8.8%.
- (=) Grade A Office capital value rebounded 0.8% QoQ in 2Q26 on rental gains, but still 50% off the peak in 3Q18. We expect positive trend from here.
- (=) Prime retail rents -1.4% QoQ / -8.4% YoY in 2Q26, but better than -10% YoY in 1Q26. We expect decline to narrow.

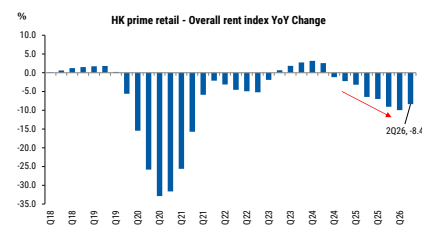
Stock ideas - Among landlords, we prefer **Swire Properties** (OW; 0.5x P/B, 5.7% forward yield) for its office exposure, attractive valuation, and positive shareholder returns (dividend growth, and buyback). We also prefer **Link REIT** (OW; 0.7x P/B, 6.8% forward yield) as retail recovery is visible, new CEO is announced, non-core disposals are ongoing and buybacks were initiated.

Exhibit 1: Office Rent Index - YoY Change



Source: JLL, Morgan Stanley Research

Exhibit 2: Retail Rent Index - YoY Change



Source: JLL, Morgan Stanley Research

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Asia Summer School 2026

HONG KONG PROPERTY

Asia Pacific

Industry View

Attractive

Previous reports:-

[Hong Kong Property & Conglomerates: Value-Up Through Self-Help \(2 Jul 2026\)](#)
[Hong Kong Property: May Retail Sales \(+8% YoY\) Remains Positive \(2 Jul 2026\)](#)
[Hong Kong Property: Recovery Broadening to Office and Retail \(3 May 2026\)](#)
[Hong Kong Property Green Lights: Start of an Upcycle \(5 Jan 2026\)](#)

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Valuation Methodology and Risks

Link REIT (0823.HK)

Base case scenario value, derived from a target 12-month forward dividend yield of 5.65%.

The target forward dividend yield is composed of a 4.05% 10-year US Treasury yield (MSe by end-2026) and a spread of 1.6% (1SD above long-term average since 2011).

Risks to Upside

- Non-core asset disposals with unit buyback from the proceeds
- Upcoming rates cut for further yield compression
- Potential REIT inclusions in Stock Connect to boost fund flows
- Possible value-accretive acquisitions

Risks to Downside

- Slower-than-expected Fed rate cut
- Further deterioration in Hong Kong retail and office
- Longer-than-expected transition in key management

Swire Properties (1972.HK)

Base case scenario value, from sum-of-the-parts analysis.

HK - Office and retail: Gross cap rates of 4.75% and 5.75%, respectively.

China - Office and retail: Gross cap rates of 7.0% and 8.0%, respectively. Rents remain stable.

HK development properties: DCF, WACC of 8%.

30% NAV discount: 1SD above average since 2011.

Risks to Upside

- Faster-than-expected ramp up of new investment properties to grow recurring income base
- More capital recycling to unlock asset value
- Strong recovery in office and retail segments in Hong Kong

Risks to Downside

- Slow recovery in HK office and retail
- Slowdown in China retail recovery
- Difficulty in off-loading non-core assets

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

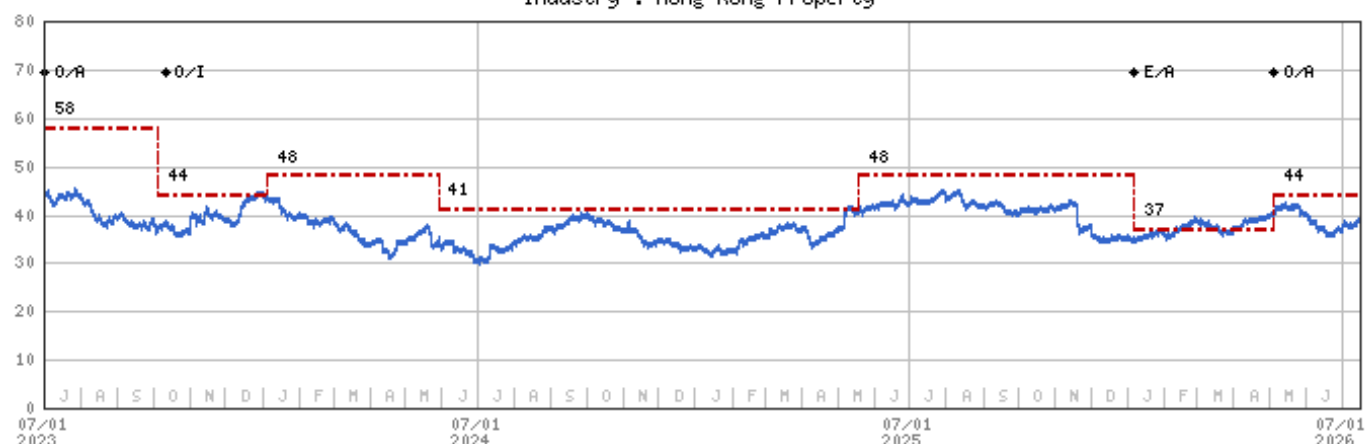
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

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Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Link REIT (0823.HK) - As of 07/16/26 GMT in HKD
Industry : Hong Kong Property



Stock Rating History: 7/1/21 : O/A; 12/16/21 : O/C; 6/16/22 : E/C; 11/10/22 : O/C; 12/7/22 : O/A; 2/8/23 : E/A; 3/28/23 : O/A; 10/11/23 : O/I; 1/6/26 : E/A; 5/4/26 : O/A

Price Target History: 6/18/21 : 86; 11/11/21 : 88; 12/16/21 : 79; 6/2/22 : 78; 6/16/22 : 71; 10/24/22 : 60; 2/8/23 : 68; 2/14/23 : 62; 5/31/23 : 58; 10/5/23 : 44; 1/5/24 : 48; 5/29/24 : 41; 5/19/25 : 48; 1/6/26 : 37; 5/4/26 : 44

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

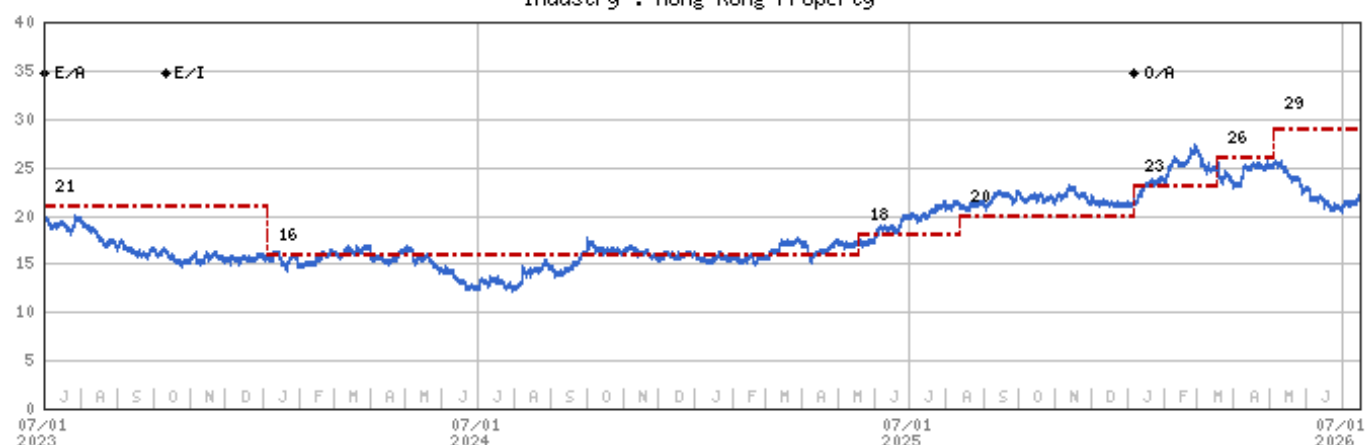
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Swire Properties (1972.HK) - As of 07/16/26 GMT in HKD
Industry : Hong Kong Property



Stock Rating History: 7/1/21 : E/A; 12/16/21 : O/C; 12/7/22 : E/A; 2/8/23 : U/A; 5/30/23 : E/A; 10/11/23 : E/I; 1/6/26 : O/A

Price Target History: 2/19/21 : 26; 7/27/21 : 25; 12/7/22 : 18; 2/8/23 : 20; 3/15/23 : 21; 1/5/24 : 16; 5/19/25 : 18; 8/13/25 : 20; 1/6/26 : 23; 3/18/26 : 26; 5/4/26 : 29

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: Hong Kong Property

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/15/2026)
Praveen K Choudhary		

CK Asset Holdings Ltd (1113.HK)	E (07/02/2026)	HK\$47.14
Hang Lung Properties Ltd. (0101.HK)	O (09/05/2025)	HK\$7.38
Henderson Land (0012.HK)	O (05/04/2026)	HK\$26.90
Hongkong Land (HKLD.SI)	O (05/19/2025)	US\$7.40
Hysan Development Company Ltd. (0014.HK)	E (01/06/2026)	HK\$17.66
Kerry Properties (0683.HK)	E (05/30/2023)	HK\$18.50
Link REIT (0823.HK)	O (05/04/2026)	HK\$38.50
New World Development (0017.HK)	U (12/13/2023)	HK\$6.63
Sino Land (0083.HK)	E (06/19/2025)	HK\$10.65
Sun Hung Kai Properties (0016.HK)	E (07/02/2026)	HK\$122.30
Swire Properties (1972.HK)	O (01/06/2026)	HK\$21.72
Wharf Holdings (0004.HK)	U (10/11/2023)	HK\$18.89
Wharf REIC (1997.HK)	U (12/13/2024)	HK\$24.02

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.